

What is investment?

1. Definitions

Investment 投资	Putting money into an asset (资产) to earn a total return (总回报) . Expected return (预期回报) comes from income, productive activity (生产性活动) or underlying value (基础价值) . The investor accepts a possible loss after comparing risk and return .															
	Examples															
	<table><tr><th>Asset</th><th>Sources of return Capital gain (资本利得)</th><th>How a loss can occur</th></tr><tr><td>Stocks (股票)</td><td>Dividends; possible capital gain</td><td>Price falls; dividends are cut</td></tr><tr><td>Bonds (债券)</td><td>Coupon interest (票息); possible capital gain</td><td>Issuer defaults (发行人违约); price falls before sale</td></tr><tr><td>Property (房产)</td><td>Net rent (净租金); possible capital gain</td><td>Vacancy (空置) or costs reduce rent; price falls</td></tr><tr><td>Index fund (指数基金)</td><td>Distributions (收益分配); possible capital gain</td><td>Fund value falls; fees (费用) reduce return</td></tr></table>	Asset	Sources of return Capital gain (资本利得)	How a loss can occur	Stocks (股票)	Dividends; possible capital gain	Price falls; dividends are cut	Bonds (债券)	Coupon interest (票息); possible capital gain	Issuer defaults (发行人违约); price falls before sale	Property (房产)	Net rent (净租金); possible capital gain	Vacancy (空置) or costs reduce rent; price falls	Index fund (指数基金)	Distributions (收益分配); possible capital gain	Fund value falls; fees (费用) reduce return
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Speculation 投机	Buying an asset mainly to profit from a price prediction (价格预测) . A gain depends mainly on the prediction (预测) being correct.															
	Examples • Shares bought mainly because of an unverified rumour (传闻) • Gold bought mainly for a rapid resale gain • Foreign currency (外币) bought after an exchange-rate prediction (汇率预测) • Bitcoin (比特币) bought mainly because a rapid price rise is predicted															
Saving 储蓄	Keeping some income for future use instead of spending it now. The main priorities are capital preservation (保本) and liquidity (流动性) , not a high return. Interest may be earned, but safety and ready access remain the main purpose.															
	Examples • Emergency fund (应急资金) in an easy-access account (灵活存取账户) • Examination fees in a protected deposit (受保障存款) • Short-term cash buffer (现金缓冲) earning modest interest															

2. Choose: Investment (投资), speculation (投机) or saving (储蓄)?

Clue or decision	Category (类别)
1. Expected return (预期回报) comes from income, productive activity (生产性活动) or underlying value (基础价值).	<i>Investment</i>
2. Gain depends on a predicted price change (预测的价格变动) or uncertain event (不确定事件).	
3. Capital preservation (保本) and liquidity (流动性) are the main priorities.	
4. Amina studies profits, cash flow (现金流) and debt before buying a diversified share portfolio (多元化股票组合). She expects dividends (股息) and long-term growth.	
5. Bao borrows after an online rumour (传闻) predicts a price rise next week. He will sell after an announcement.	
6. Chloe estimates rent, maintenance and vacancy costs (空置成本). She buys a flat mainly for net rent (净租金).	
7. Daniel needs examination-fee money in eight months, so he uses an easy-access account (灵活存取账户) for safety and liquidity.	
8. Eva invests for university in ten years using a diversified fund (多元化基金). She reviewed fees and risks and accepts a possible fall in market value (市场价值).	
9. Farah keeps an emergency fund (应急资金) in an easy-access account (灵活存取账户). Quick withdrawal matters more than return.	
10. George buys a bond fund (债券基金) for retirement after checking income, default risk (违约风险), fees and market-value risk (市场价值风险).	
11. Hadi buys Bitcoin (比特币) after an influencer predicts a weekend price jump. He will sell immediately if it happens.	
12. Iris buys foreign currency (外币) before a central-bank announcement (央行公告). Her expected gain (预期收益) depends on a price prediction (价格预测).	
13. Jun needs tuition money in three months, so he uses an easy-access account (灵活存取账户) for safety and liquidity.	

| MCQs

Circle the best answer.

1. What is the strongest evidence that a decision is a financial investment (金融投资)?

- A. The asset (资产) has risen in price before.
- B. Expected return (预期回报) is supported by income, productive activity (生产性活动) or evidence about underlying value (基础价值).
- C. Money can be withdrawn immediately with no possible loss (可能亏损).
- D. The buyer plans to sell after an unverified rumour (传闻).

2. Which decision is saving (储蓄) rather than financial investment (金融投资)?

- A. Keeping school-trip money in a protected easy-access account (灵活存取账户).
- B. Buying a diversified fund (多元化基金) for long-term growth after reviewing its fees (费用) and risks.
- C. Buying shares after analysing profits, debt and cash flow (现金流).
- D. Buying property mainly for expected net rent (净租金).

3. Which evidence most clearly indicates speculation (投机)?

- A. Expected bond interest after analysing default risk (违约风险).
- B. Expected net rent (净租金) after estimating vacancy (空置) and maintenance.
- C. Borrowing after a rumour (传闻) of a next-week price jump and planning a quick sale.
- D. Accepting that a diversified fund (多元化基金) held long term can lose value.

4. Which statement about saving (储蓄) is correct?

- A. Earning interest automatically makes saving a financial investment (金融投资).
- B. Saving cannot lose purchasing power (购买力).
- C. Capital preservation (保本) and liquidity (流动性) can matter more than a high return.
- D. Saving always means holding cash at home.

5. Two people buy the same asset (资产). Why might one be investing (投资) and the other speculating (投机)?

- A. The asset (资产) name decides the category.
- B. The person who pays the higher price is the speculator (投机者).
- C. One expects income or evidence-supported growth; the other mainly predicts a price change (价格变动).
- D. The person planning to sell sooner is always the speculator (投机者).

| Think:

Use at least two accurate terms in each answer. Explain rather than give only yes or no.

1. Save (储蓄) first or invest (投资) now?

Mina receives ¥500 and has no money set aside for emergencies. Should she save some before investing? Explain. You may use two or more terms: emergency fund (应急资金), liquidity (流动性), essential spending (必要支出), possible loss (可能亏损).

2. Match the decision to the time horizon (投资期限)

Leo needs the money for a laptop in six months. He wants a higher return but cannot afford a loss. Should he save or invest it? Explain. You may use two or more terms: time horizon (投资期限), liquidity (流动性), capital preservation (保本), possible loss (可能亏损).

3. Identify speculation (投机) and its risk (风险)

Nora borrows money to buy shares after an unverified online rumour. She will sell tomorrow if the price rises. What makes this speculation (投机), and what risk (风险) is she taking? You may use two or more terms: rumour (传闻), price prediction (价格预测), borrowed money (借入资金), possible loss (可能亏损).
